Customer Churn & Revenue Risk Analysis

High churn rates threaten revenue stability in subscription businesses. The goal of this analysis is to **identify the factors that drive churn and revenue exposure**.

Dataset

- **440k customers**
- Behavioral + financial variables

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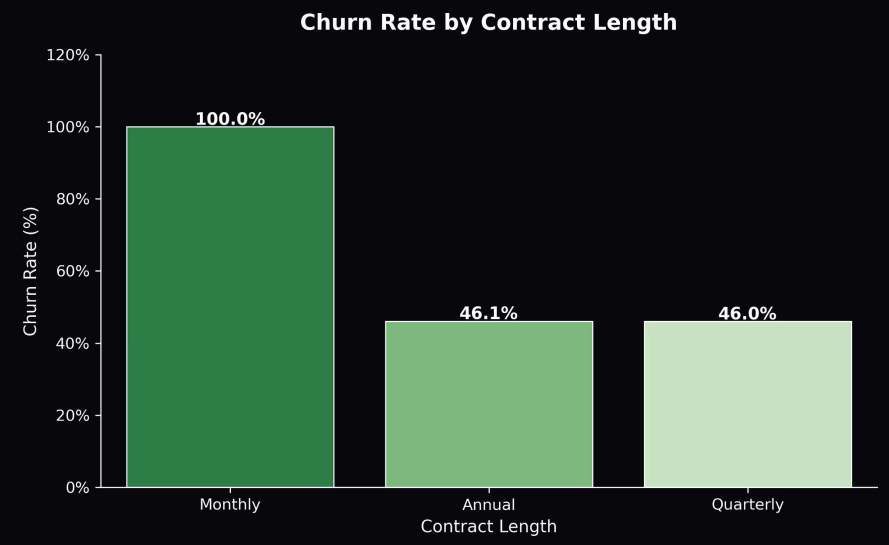
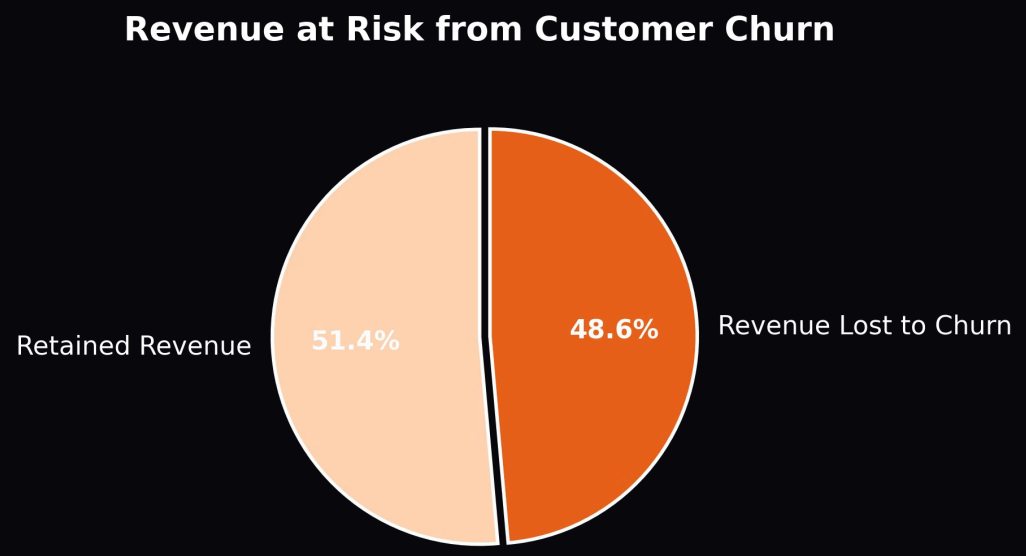
Key Findings





Monthly contracts

Show the **highest churn rates**

Retained customers

Spend **~38% more on average**

Revenue risk

48.6% of total revenue comes from customers who eventually churn

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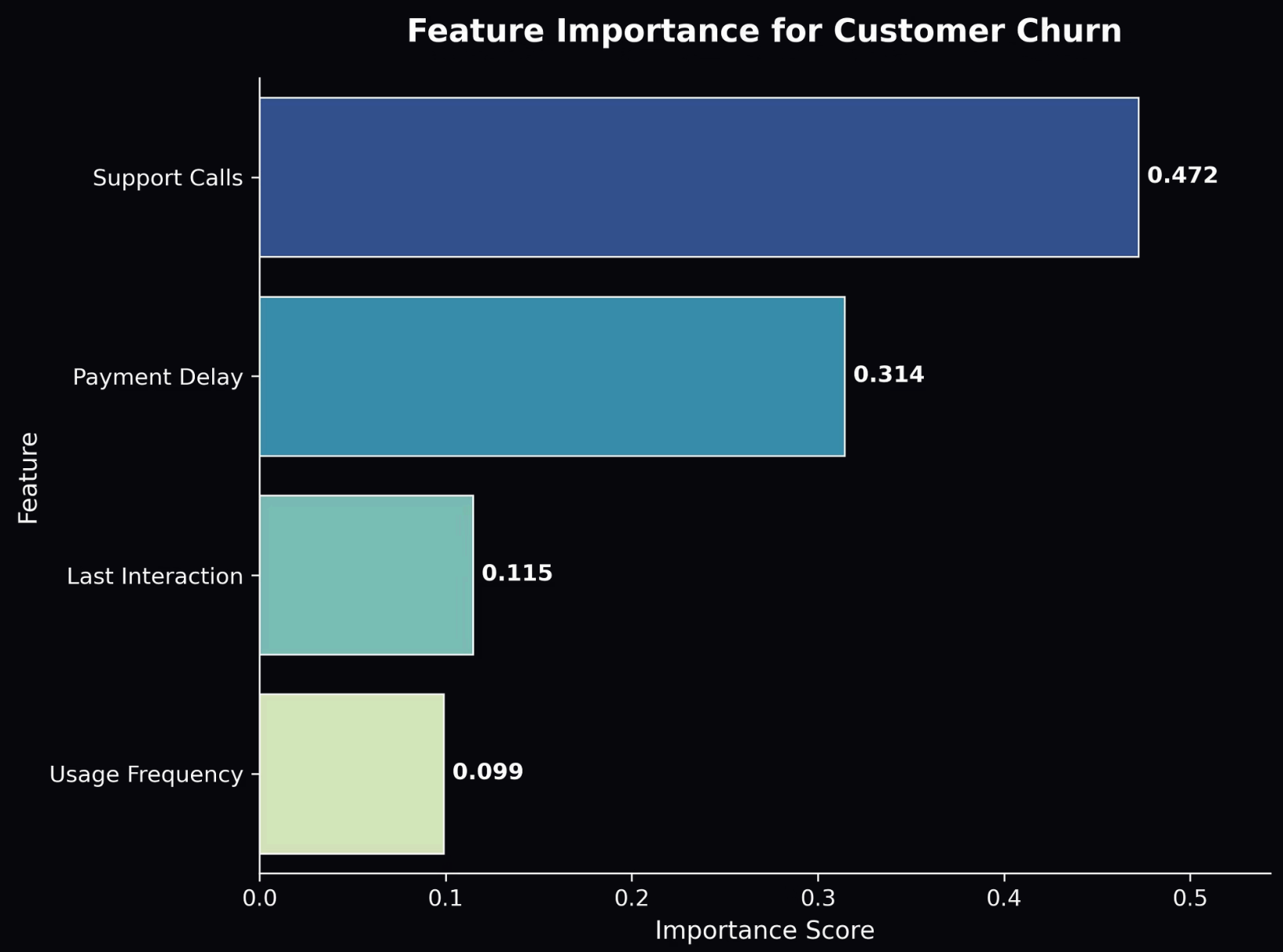
Key Drivers of Churn



Feature Importance — Insights

→ Support Calls

→ **Strongest predictor** of churn

→ Payment Delays

→ **Second most important** factor

→ Engagement Metrics

→ **Weakest signals**

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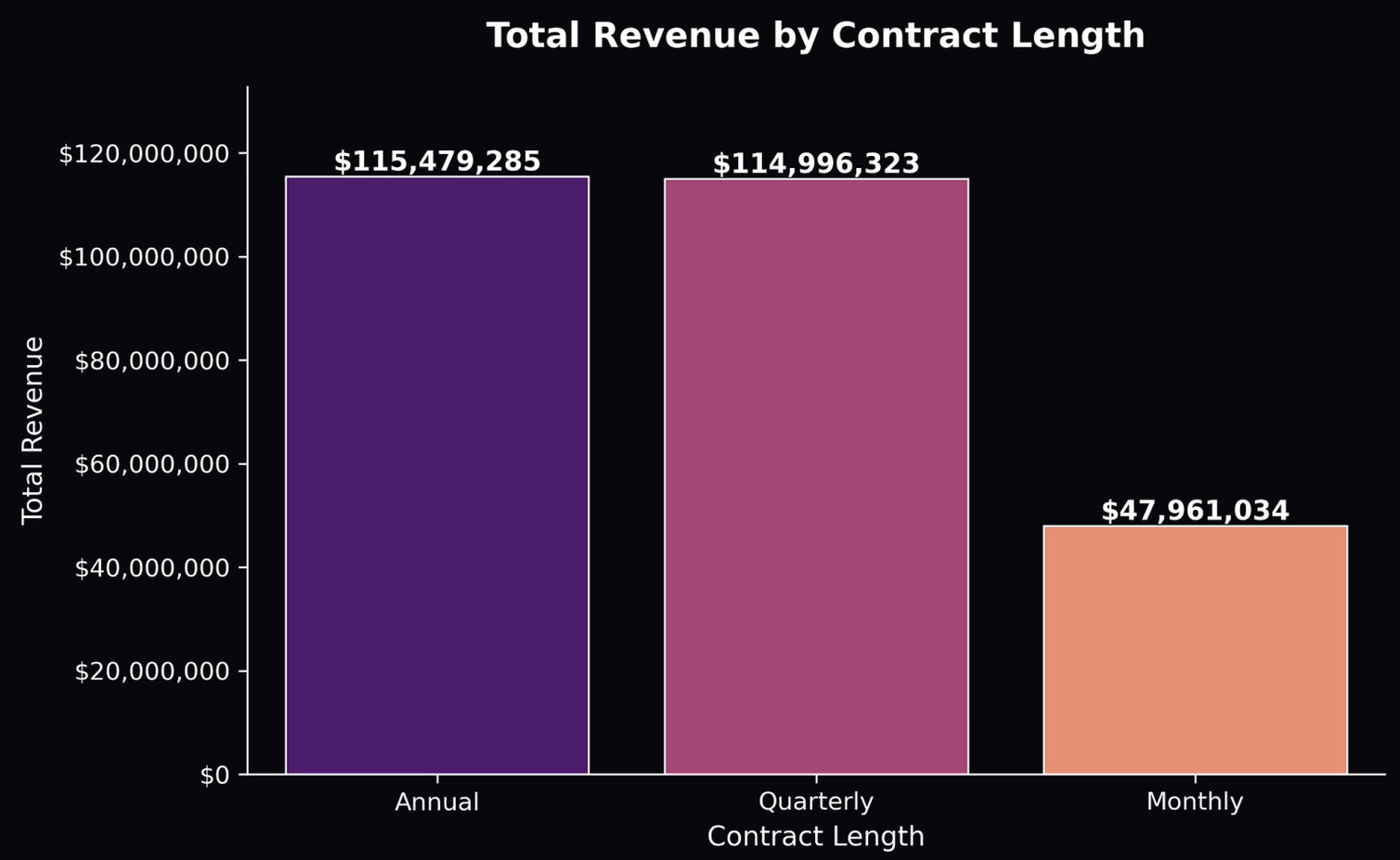
Revenue Implications



Quarterly and Annual Contracts

Generate the **majority of revenue**

Monthly Contracts

Contribute **less revenue** and show **higher churn risk**

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Strategic Recommendations

1

Investigate the factors behind support tickets

Analyze in depth the **drivers of support tickets** to identify recurring issues that generate churn.

2

Build early churn signals

Develop **early churn signals** using support activity as the main predictive variable.

3

Incentivize migration to long-term contracts

Design incentives for customers to migrate towards **longer-term contracts**, reducing churn risk and increasing stable revenue.

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